

CASE ID: 201711710986

EPISODE NAME: Palau Tourism Ban

2017/11/16 - Ongoing

Sender: China (710)

Target: Palau (986)

Issue: Contain Political Influence (1)

Final Outcome: Stalemate after Sanctions Imposition (9)

Summary:

On 2017/11/16, Beijing ordered Chinese tourism agencies to remove Palau and Vatican City from their destinations list, or face fines of up to 300,000 yuan (around \$43,000 USD). This was an attempt to put pressure on the few countries still recognizing Taiwan as a country. Neither Palau nor Vatican City have changed their stances, despite steep costs to Palau, and uncertain costs to Vatican City. China's travel bans remain in effect.

Narrative:

On 2017/11/16, Beijing ordered Chinese tourism agencies to remove Palau and Vatican City from their destinations list, in an attempt to put pressure on Taiwan's diplomatic allies.¹ China considers Taiwan part of its territory, and has successfully pressured all but a few countries – including Palau and Vatican City – to formally adhere to its “one China” policy. China's pressure campaign escalated in 2016.²

The episode began on 2017/11/16, when the Chinese government announced that any agencies found advertising Palau or the Vatican and St. Peter's Basilica would be fined up to 300,000 yuan (around \$43,000 USD).³ Beijing never formally threatened sanctions or justified their decision. Instead, travel agencies were notified privately via conference call.⁴ A spokesman for the Chinese Foreign Ministry later said that any relations with foreign countries had to happen under the “one China” principle.⁵

¹ “Beijing Bans Chinese Tour Groups in Vatican and Palau in Bid to Pressure Taiwan's Last Few Diplomatic Allies.” *Island Times*, November 28th, 2017.
islandtimes.org/beijing-bans-chinese-tour-groups-in-vatican-and-palau-in-bid-to-pressure-taiwans-last-few-diplomatic-allies/.

² Giusto, Patricio, and Harán, Juan. “How Secure Are Taiwan's Remaining Diplomatic Partnerships?” *The Diplomat*, June 27th, 2025.
thediplomat.com/2025/06/how-secure-are-taiwans-remaining-diplomatic-partnerships/.

³ “Beijing Bans Chinese Tour Groups in Vatican and Palau in Bid to Pressure Taiwan's Last Few Diplomatic Allies.” *Island Times*, November 28th, 2017.
islandtimes.org/beijing-bans-chinese-tour-groups-in-vatican-and-palau-in-bid-to-pressure-taiwans-last-few-diplomatic-allies/.

⁴ Ibid.

⁵ Master, Farah. “Empty Hotels, Idle Boats: What Happens When a Pacific Island Upsets China.” *Reuters*, August 19th, 2018.

Although the cost to the Vatican was unclear, the cost to Palau was reportedly steep. Tourism accounted for 42.3 percent of Palau's GDP in 2017.⁶ Tourism from China fell from 87,000 in 2015 to 58,000 in 2017.⁷ The impact was significant enough that Palau Pacific Airways cancelled flights from China in 2018/08.⁸

Palau's President (Tommy Remengesau Jr.) stated that the country has no intention of switching allegiance to Beijing over Taiwan. Instead, the country prioritized high-spending-tourists over mass tourism.⁹ A letter from Palau's President (now Surangel Whipps Jr.) to an unnamed US senator on 2024/02/09 described how China had tried the carrot approach on Palau, promising to "fill every hotel room" in Palau and pay \$20 million USD every year to build a call center, in return for cooperation. Palau did not take the offer.¹⁰ China's travel bans on Palau and Vatican City remain in effect.

www.reuters.com/article/us-pacific-china-palau-insight/empty-hotels-idle-boats-what-happens-when-a-pacific-island-upsets-china-idUSKBN1L4036/

⁶ Lyons, Kate. "'Palau against China!': The Tiny Island Standing up to a Giant." *The Guardian*, September 7th 2018.

www.theguardian.com/global-development/2018/sep/08/palau-against-china-the-tiny-island-defying-the-worlds-biggest-country

⁷ Beldi, Lauren. "China's 'tourist ban' Leaves Palau Struggling to Fill Hotels and an Airline in Limbo." *ABC News*, August 25th, 2018.

www.abc.net.au/news/2018-08-26/china-tourist-ban-leaves-palau-tourism-in-peril/10160020

⁸ Master, Farah. "Empty Hotels, Idle Boats: What Happens When a Pacific Island Upsets China." *Reuters*, August 19th, 2018.

www.reuters.com/article/us-pacific-china-palau-insight/empty-hotels-idle-boats-what-happens-when-a-pacific-island-upsets-china-idUSKBN1L4036/

⁹ Beldi, Lauren. "China's 'tourist ban' Leaves Palau Struggling to Fill Hotels and an Airline in Limbo." *ABC News*, August 25th, 2018.

www.abc.net.au/news/2018-08-26/china-tourist-ban-leaves-palau-tourism-in-peril/10160020

¹⁰ Chung, Ray. "China Lures Palau with Economic Incentives to Break Ties with Taiwan." *Radio Free Asia*, February 19th, 2024. www.rfa.org/english/news/china/china-palau-taiwan-02192024014420.html